The Post-Merger Blueprint

Deconstructing the Architecture of Integration Success

A data-driven framework to survive the M&A failure curve.

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THE STAGGERING REALITY OF M&A

70–90%

With more than a million M&A deals completed over the previous thirty-five years... it is surprising these transactions continue to occur with a failure rate of 70-90%.

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The Value Erosion Model

Many bidders' shareholders receive little to no positive financial returns on takeover deals when looking at the share price evolution or operational performance.

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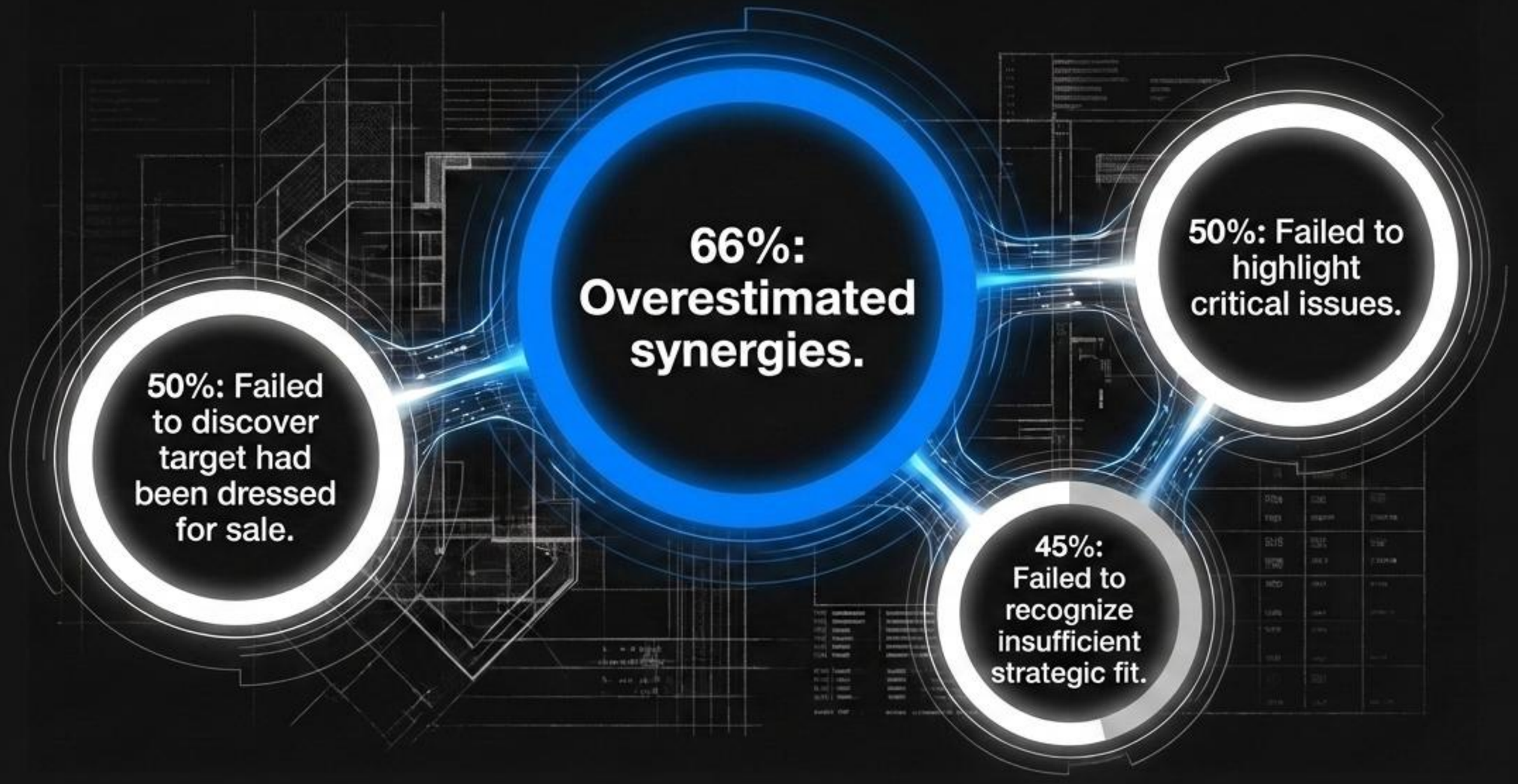
66%: Overestimated synergies.
50%: Failed to discover target had been dressed for sale.
50%: Failed to highlight critical issues.
45%: Failed to recognize insufficient strategic fit.

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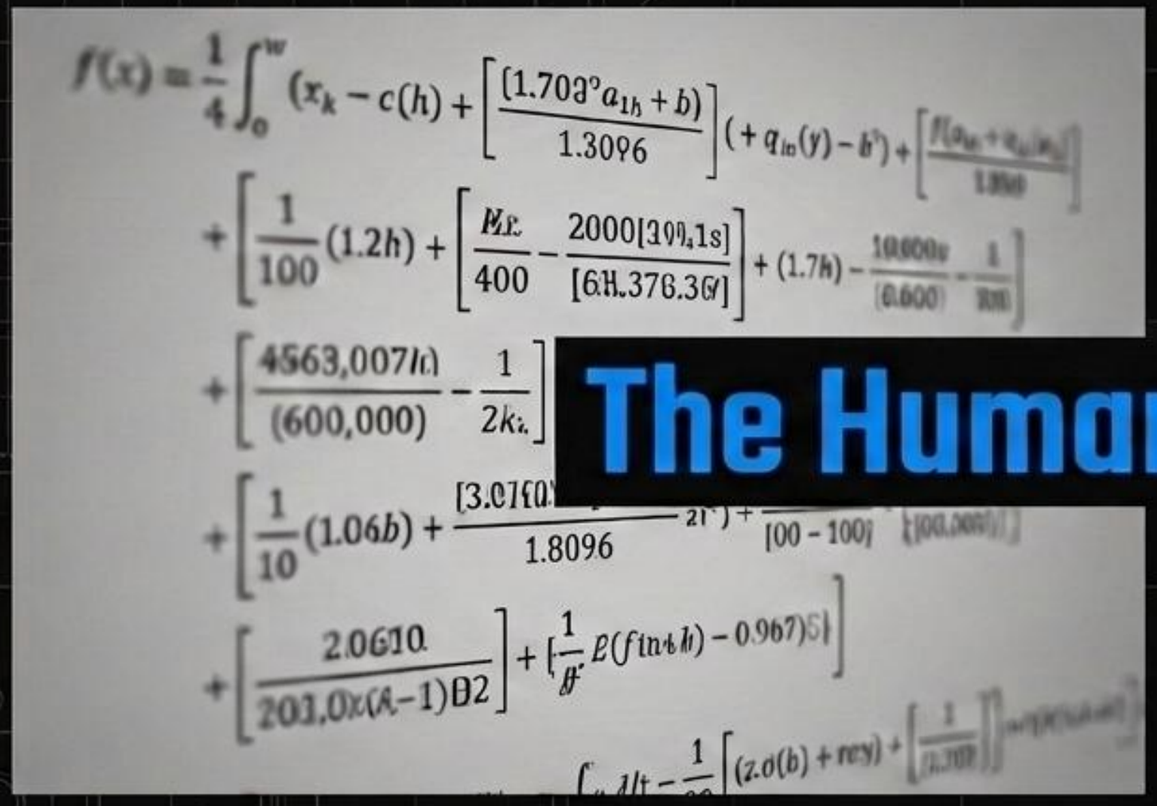

The Human Blindspot

"Overlooking the most critical element in M&A [people] often results in departure of key personnel, lack of cohesion across teams, and demotivation... This lack of focused action is identified as a likely cause for about 67% of all merger failures."

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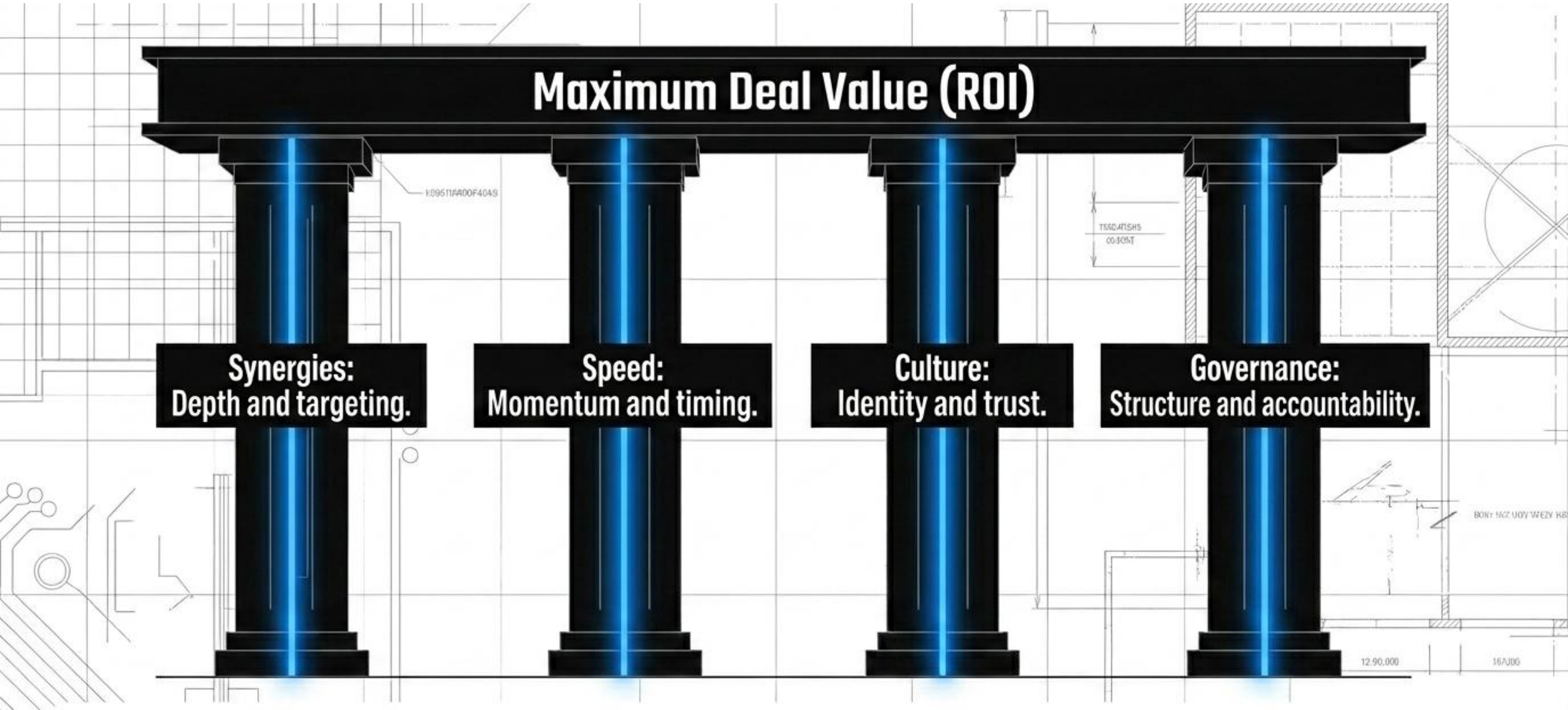

"Successful deal makers excel in four areas: achieving synergies, completing the integration within an ambitious time frame, successfully managing culture and change, and implementing strong project governance."

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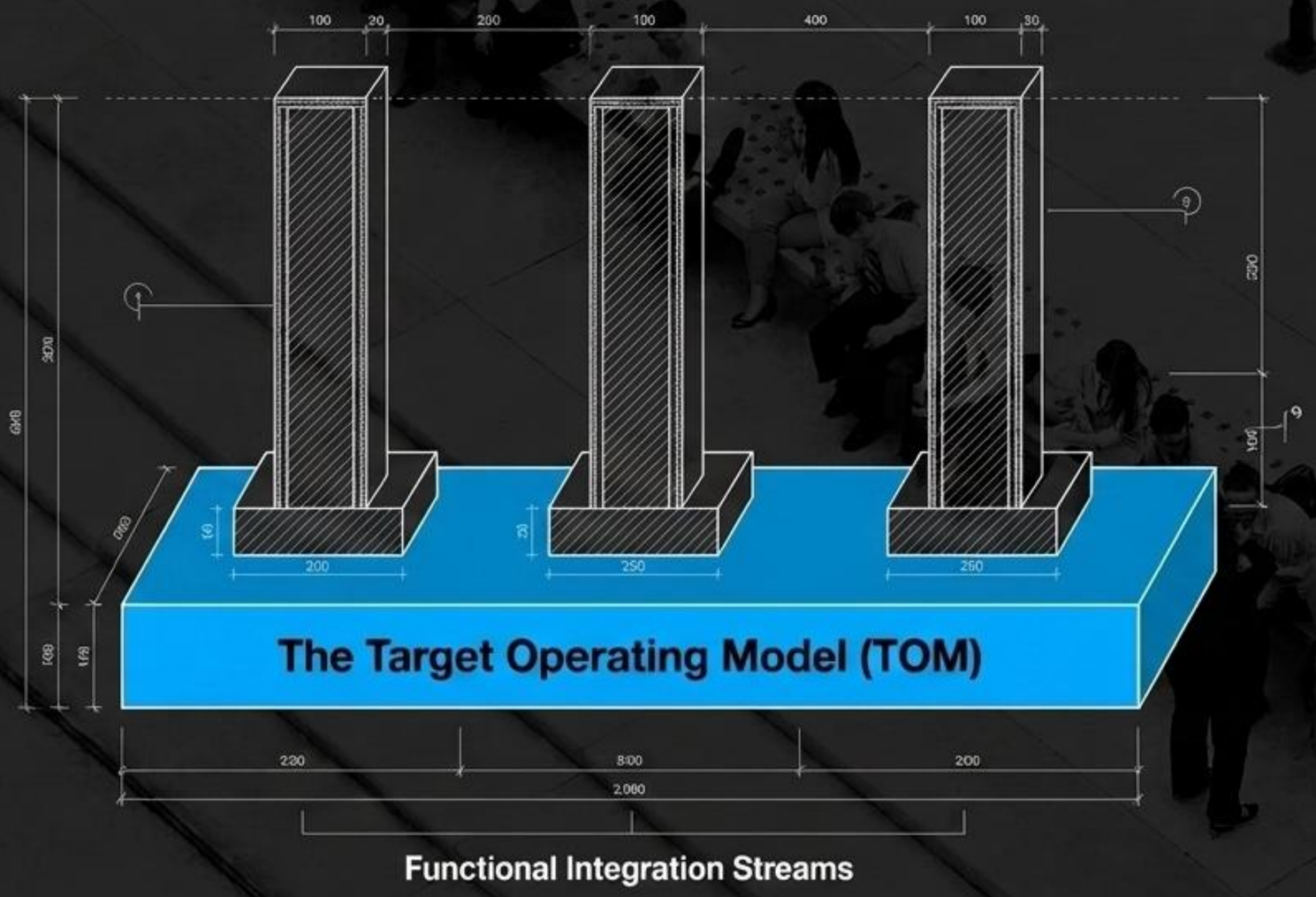
The Target Operating Model (TOM)



"Design the target operating model (TOM) of your combined business as early as possible. It will guide all your functional integration activities as well as maximise the benefits of the acquisition."

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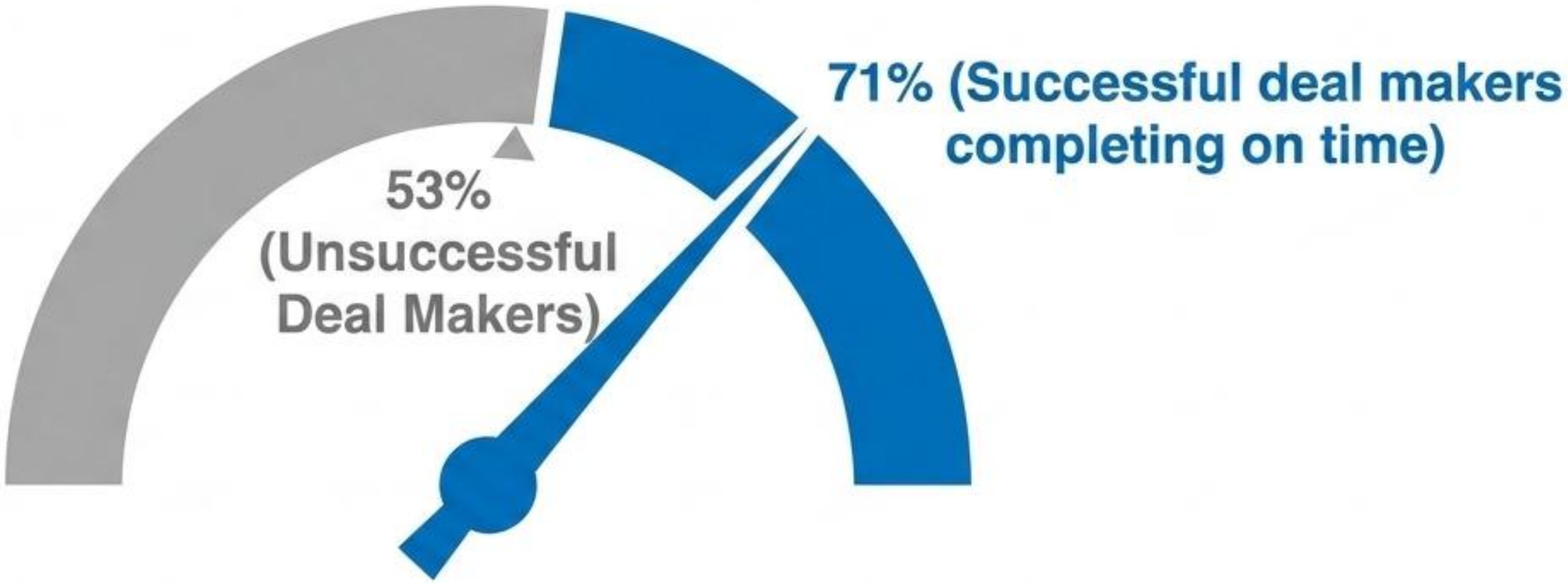
Based on Slide C

The Velocity Mandate



"Accelerated transitions result in more rapid returns on deal investment… Prolonged transitions will reduce profits, destroy morale and productivity, and lead to missed opportunities and loss of market share."

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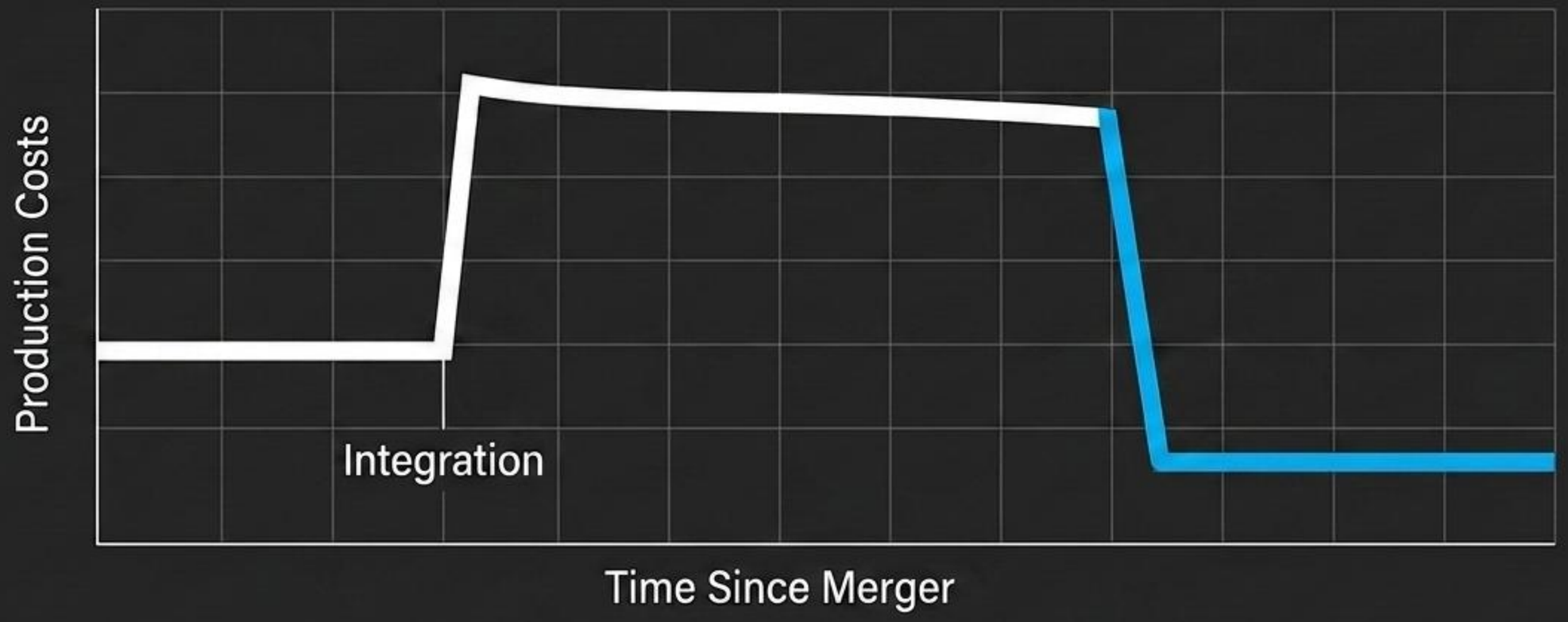
The Integration Duration Cost Penalty



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Integration Timeline & Focus Areas

0-3 Months
Finance & HR (Quick Wins)

3-6 Months
Customer-facing (Marketing/Sales)

6-12 Months
R&D / Production

12-24 Months
IT Systems Integration

The first business functions to be integrated are often finance, HR and customer-facing functions... Integrating IT systems, on the other hand, often takes the longest time.

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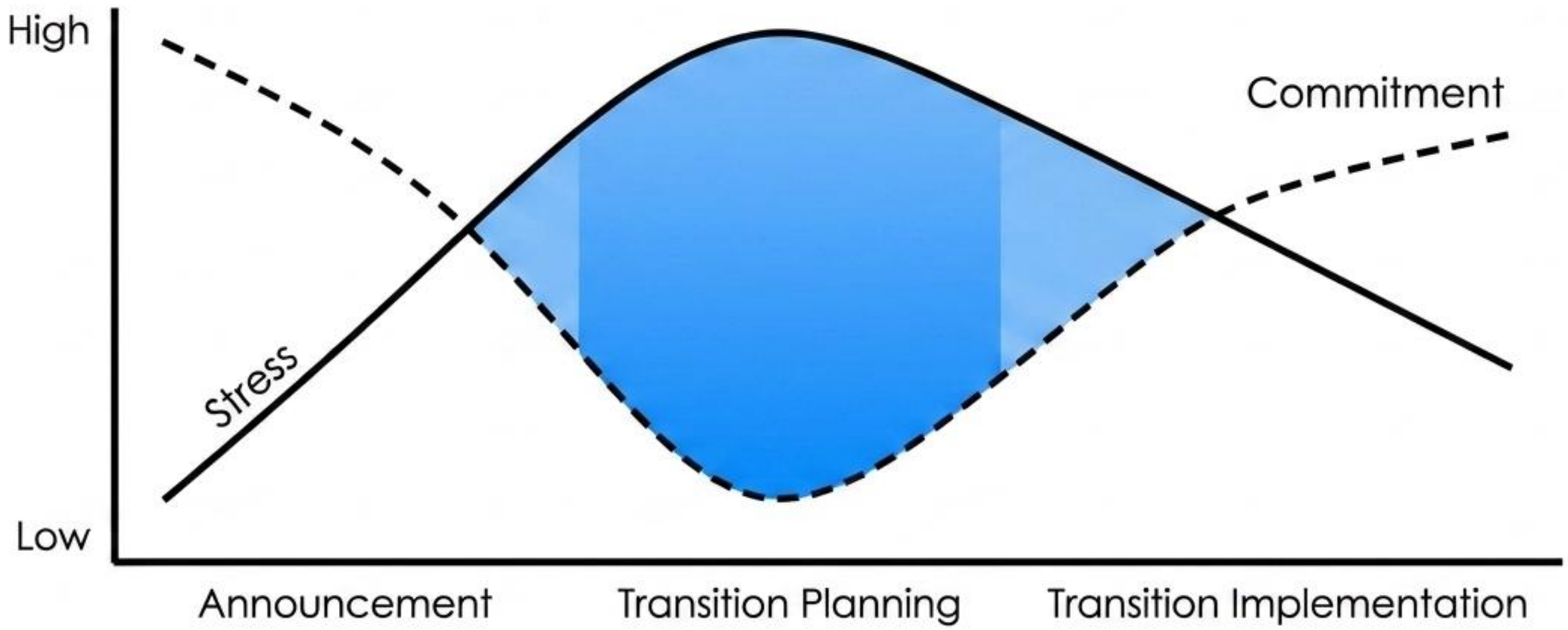
The Emotional Lifecycle of an Acquisition



The critical issue in times of transition is TRUST… Under-communication will create lack of trust, 'projections' and rumors.

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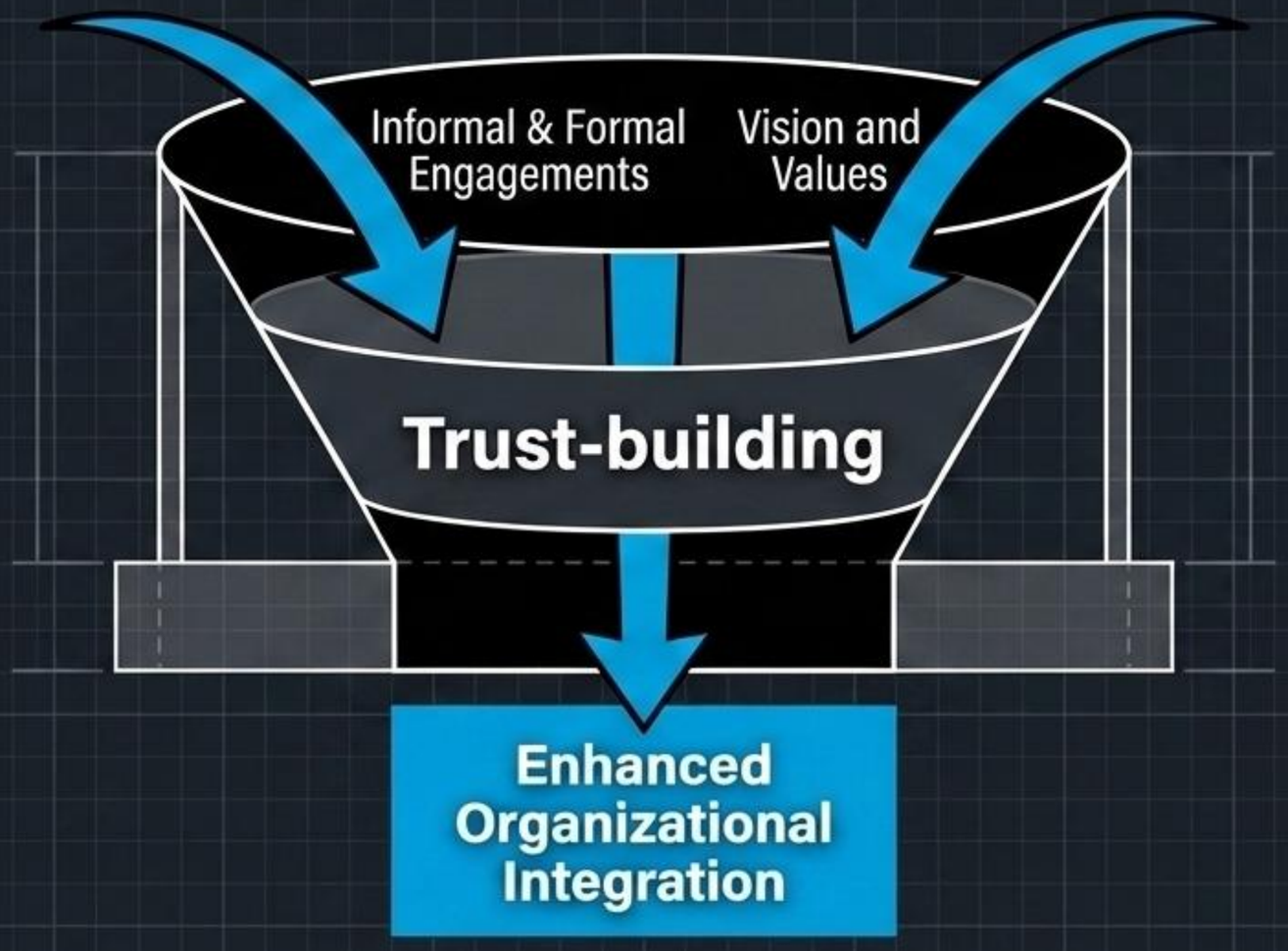
The CIDDF Framework



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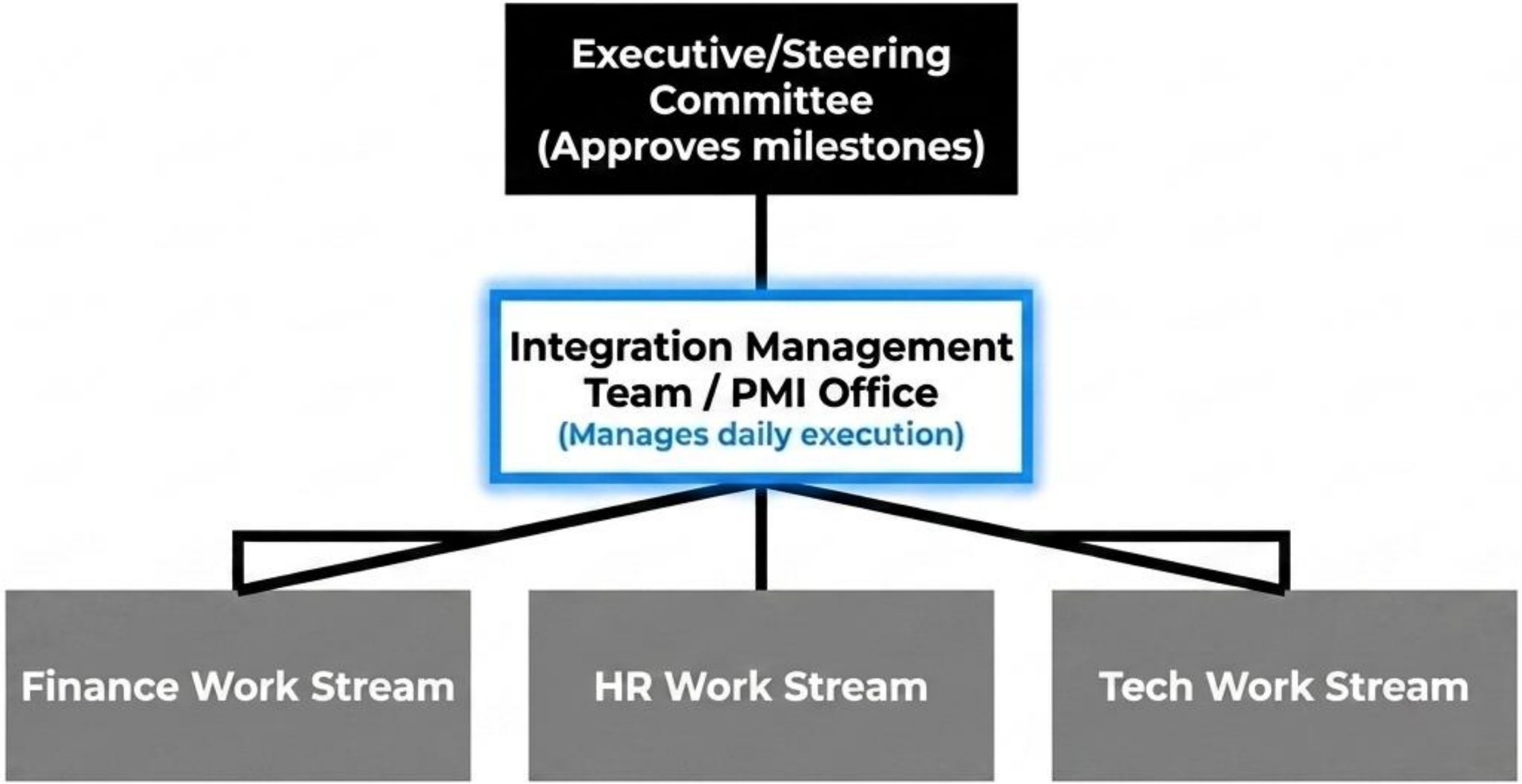
Executive/Steering Committee (Approves milestones)
Integration Management Team / PMI Office
(Manages daily execution)
Finance Work Stream
HR Work Stream
Tech Work Stream

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STRONG GOVERNANCE

- 72% completed on time
- 77% considered risks proactively

WEAK GOVERNANCE

- 50% completed on time
- Top issues: insufficient resources and delays

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The Integration Office & The PMI Champion

"A professional PMI expert should be appointed 'on ground' locally: lead the overall PMI efforts after proper handover from the M&A Team... Manage regular communications, cultural analysis, and other 'mission based' plans."

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COMMUNICATION ALIGNMENT MAP

AUDIENCE	OBJECTIVES	STRATEGIC FOCUS
Middle Management	Long term vision, future synergies	Alignment
Employees	“What will happen to me?”, lower stress	Retention
Customers/Partners	Retain client base, lower uncertainty	Continuity

“Messages should be CONNECTED TO THE STRATEGIC GOALS... CONSISTENT and REPETITIVE. Over-communication is, in most cases, better than under-communication.”

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PRE-DEAL	DEAL	POST-DEAL
Strategy, Scanning, Targeting	Due Diligence (Financial AND Cultural), Valuation, Deal Management	**PMI Planning, Change Program, Strategy Formulation, Execution**

Design your integration approach during the DD phase. The earlier you plan the PMI, the more effective it will be. Set up a small team to start PMI planning and PMI concept during the DD.

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The Ultimate Leading Indicator

66% of business leaders state that internal indicators (such as workforce performance) are are more reliable predictors of success than financial results.

Integration is not a financial event. It is a human execution. Focus on the intangible assets.

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